

C237 Taxation I — Complete Study Guide (WGU)

Course tax year: 2024 | Aligned to Tip Toe Through the Tax World with Elin + Comprehensive Review Webinar

Exam Basics (from Comprehensive Review)

- **66 questions** in **150 minutes** (extra practice questions may appear but do not count)
 - **2024 tax code** — charts given on exam; you do NOT memorize standard deduction, tax rate, or MACRS charts
 - **YOU MUST memorize:** credits rules, itemized list, medical %, Social Security %, filing status rules, capital asset exclusions, MACRS 5 vs 7 year, depreciation order, statute of limitations, tax law sources, entity types, etc.
 - **Pre-assessment aligns well** with objective assessment — but do NOT memorize PA questions; **PA questions 8, 14, 15 have wrong answers** for tax formula — use instructor correction document
 - **Whiteboard brain dump** at start: tax formula 4 steps, 6 itemized deductions, credit rules
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TOPIC 1 & 7: Nature, Purpose, Scope & Tax Research

What Is a Tax?

- Payment to government — **not voluntary**, no specific benefit to you individually
- Imposed to fund government (Constitution gives Congress power to tax)
- **16th Amendment (1913)** — Congress can tax **income**

Three Tax Rate Structures ★ MEMORIZE

Type	Meaning	Examples
Progressive	Tax rate increases as income increases (marginal rate rises)	Federal & state income tax
Regressive	Tax rate decreases as income rises (hits low earners harder)	Social Security & Medicare (cap/cutoff at higher income)
Proportional (flat)	Every dollar taxed at same rate	Sales tax, excise tax (e.g., per gallon gas tax)

Progressive definition: Marginal tax rate increases as tax base increases — tax by "chunks."

Evaluating a Tax System — Five Criteria ★ MEMORIZE

Criterion	What it means
Sufficiency	Government collects enough revenue to pay its bills (deficit = not sufficient)
Equity	Fairness — horizontal (same income → same tax) vs vertical (higher income → more ability to pay)
Certainty	Taxpayers know where, when, how much to pay
Convenience	Easy to collect without undue hardship (payroll withholding, sales tax at register)
Economy / Simplicity	Low cost to comply (for taxpayer and government)

Social Security & Medicare ★ MEMORIZE NUMBERS

Who	Social Security	Medicare	Combined note
Employee	6.2%	1.45%	Employer pays matching 6.2% + 1.45%
Self-employed	Pay both sides	Pay both sides	15.3% total (SS + Medicare)

- May be called **OASDI** (Old Age, Survivors, Disability Insurance) = same as Social Security
- **Regressive** — at certain income levels you stop paying SS; Medicare % drops
- **2024 example:** SS stops on income above ~\$168,600 (concept matters more than exact number on test)

Employee vs Independent Contractor

- **Employee:** employer withholds all taxes
- **Independent contractor:** self-employed — pay own taxes (15.3%), can deduct business expenses, but responsible for all tax

Statute of Limitations ★ MEMORIZE

Period	When
3 years	General rule — IRS can audit/correct
6 years	If you underreport income by more than 25%
Indefinite	No return filed OR fraudulent return

When clock starts: Later of (1) due date of return (15th day of 4th month / April 15) OR (2) actual filing date if filed late

Civil Penalties ★ KNOW CHART

Taxpayer: - **Failure to file:** 5% of tax owed per month (up to 25%); **no penalty if no tax due** - **Failure to pay:** 0.5% per month on unpaid balance - **Fraud:** 75% of liability

Tax preparer (willful understatement): Greater of **\$5,000** OR **75% of income** derived from preparing that return

Tax Research Process ★ MEMORIZE ORDER

1. **Facts** (ALWAYS FIRST)
2. **Issue** (legal question)
3. **Locate relevant authority**
4. **Document**

Open facts vs closed facts: **Open facts** = planning future transaction (more advantageous — structure for best outcome). **Closed facts** = transaction already done — only determine liability.

Sources of Tax Law ★ MEMORIZE HIERARCHY

Level	Source
Top	U.S. Constitution (16th Amendment = income tax)
Legislative	Internal Revenue Code (Congress)
Administrative	Treasury Regulations (Dept. of Treasury)
Judicial	Court decisions
Lesser IRS primary	Revenue rulings, revenue procedures
Private Letter Ruling	Taxpayer asks IRS how a specific transaction will be taxed — applies only to that taxpayer
Technical Advice Memorandum (TAM)	IRS agent in field asks IRS how to handle audit issue
Circular 230	Rules for practicing before the IRS

Primary vs secondary: Primary = from government (argue in court). Secondary = textbooks, journals (explain only — never argue to court).

Business Entities ★ MEMORIZE

Type	Tax treatment
C Corporation	Non-flow-through — entity files corporate return, 21% flat tax ; dividends taxed again to shareholders = double taxation
Partnership, S Corp, LLC (pass-through)	Flow-through — entity issues K-1 ; individuals pay on personal return — taxed once

Test trick: Non-flow-through = **C Corporation only**

Tax Avoidance vs Evasion

- **Avoidance** = legal planning to minimize tax
- **Evasion** = **willful** fraud — **criminal** (e.g., Al Capone)

IRS Audits (3 types)

1. **Correspondence** — mail, 1-2 items
2. **Office examination** — go to IRS office
3. **Field examination** — IRS at business (most extensive)

Pay-as-You-Go & Filing

- Individual tax year ends **December 31**
 - Return due **15th day of 4th month** after year-end (usually **April 15**); next business day if weekend/holiday
 - **Extension to file** = 6 months — **NOT extension to pay**
 - Underpayment penalty avoided if pay **90% of current year** OR **100% of prior year** liability
 - Estimated taxes (self-employed): quarterly — Apr 15, Jun 15, Sep 15, Jan 15
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TOPIC 2: Individual Income Tax Formula ★ HEAVY EXAM TOPIC

The Four Components ★ WRITE ON WHITEBOARD

1. **Filing status**
2. **Income** — everything from whatever source unless government says don't count
3. **Deduction** — standard OR itemized (take **whichever is bigger** — only ONE)
4. **Tax liability** — use correct progressive tax chart for filing status

Income Types (3 levels)

- **Gross income** → minus **FOR (above-the-line)** deductions → **Adjusted Gross Income (AGI)**
- **AGI** → minus **FROM (below-the-line)** deduction → **Taxable income**
- **Taxable income** → tax charts → liability → minus credits & prepayments → refund or owe

Gross Income Rule ★ MEMORIZE

"Everything from whatever source derived" unless excluded.

DO NOT COUNT (common on test):

- **Gifts**
- **Inheritances**
- **Interest from municipal bonds** (tax-free at federal level)
- **Alimony / child support / spousal support** (post-2018 rules)
- Life insurance proceeds (may have other taxes)
- Most personal injury settlements (not punitive damages)

DO COUNT:

- Wages, interest (non-municipal), gambling winnings
- **Illegal income** — still taxable

- Constructive receipt — if entitled to money with no restrictions, count it even if not cashed

Unrealized vs Realized vs Recognized ★ MEMORIZE

Term	Meaning
Unrealized	Value on paper — no tax
Realized	Cash in hand — transaction completed
Recognized	Must report on tax return

You will have **more realized than recognized** (municipal bond interest realized but not recognized).

Ordinary vs Capital Income

- **Ordinary** — wages, progressive charts (10%, 12%, 22%, 24%, 32%, 35%, 37%)
- **Capital / preferential** — long-term capital gains: **0%, 15%, or 20%** (hold **more than 1 year** = 1 day longer than a year)

FOR vs FROM Deductions ★ ONE WORD CHANGES ANSWER

	FOR (above-the-line)	FROM (below-the-line)
Timing	Before AGI	After AGI
Examples	Business expenses, rental expenses, half of self-employment tax	Standard or itemized

Think FOR = **business expense**

Standard Deduction 2024 (given on exam — know concept)

- Married filing joint / qualified widow: **\$29,200**
- Head of household: **\$21,900**
- Single / married filing separate: **\$14,600**
- **90%+ of people take standard** because amounts increased in 2018

Progressive Tax Chart Math ★ PRACTICE

Example: Taxable income falls in bracket → base tax on lower chunks + % on excess over threshold.
Use the chart for YOUR filing status (single, HOH, MFJ, MFS).

TOPIC 3: Gains & Losses

Capital Assets — Defined by EXCLUSION ★ MEMORIZE NOT CAPITAL

For **business**, NOT capital assets: 1. **Inventory** 2. **Supplies** 3. **Real property used specifically in the business**

If not capital → **ordinary/non-capital asset**

Capital assets: stock held for investment, personal house/car, collectibles bought to appreciate, business real estate held for investment (not used in operations)

Basis ★ MEMORIZE

What it cost + what it cost to put in use - Purchase price + delivery + installation + setup to run - **NOT** ongoing maintenance (that's expense) - Ignore fair market value in basis questions — only cost to acquire and place in service

Holding Period ★ MEMORIZE

- **Long-term:** held **more than 1 year** (366th day in non-leap year; 367th in leap year)
- **Short-term:** 1 year or less → taxed as **ordinary income**

Netting

- Net long-term gains vs long-term losses
- Net short-term gains vs short-term losses
- Then net long vs short

Capital Loss Limitation (individuals)

- Can deduct only **\$3,000** of capital losses against ordinary income per year
- Excess **carries forward** indefinitely
- **Cannot** take loss on personal use property (house, car) even if sold at loss
- Cannot take loss on sale to related family member at loss

Gift vs Inheritance Basis ★ MEMORIZE

	Gift (donor alive)	Inheritance (after death)
Basis	Donor's basis (carryover)	Stepped-up basis = FMV at death
Holding period	Donor's holding period	Always long-term

Expense vs Depreciate

- **Expense** — used up within the year (wages, utilities, repairs, supplies)
- **Depreciate** — big-ticket items lasting multiple years (machines, buildings, vehicles)

Depreciation Order ★ MEMORIZE

1. **Section 179** — expense instead of depreciate (limit **\$1,220,000** in 2024)
2. **Bonus depreciation** — **60%** in 2024 (declining over time)
3. **MACRS** — default system

MACRS Personal Property ★ MEMORIZE 5 vs 7 YEARS

5-year	7-year
Autos, light trucks, computers	Office furniture, fixtures, equipment

When in doubt, pick 5. Chart given — **half-year convention** year 1 = **20%** for 5-year asset (not 40% because half year).

MACRS Real Property

- **Land NEVER depreciates** — subtract land value from purchase price
- Charts: **residential** vs **nonresidential** — if not specified, assume **nonresidential**
- **Mid-month convention** year 1; straight-line after
- Assume **2024** purchases for exam charts

TOPIC 4 & 5: Deductions & Itemized Deductions

Six Itemized Deductions ★ MEMORIZE — WRITE ON WHITEBOARD

1. **Medical** — above **7.5% of AGI** floor
2. **Charity** — qualified **501(c)(3)** domestic charities only
3. **Mortgage interest** — first and **second** home
4. **Property (real estate) tax** — first and second home
5. **Sales tax** OR **income tax** (pick one, not both)
6. (Sales and income tax are the two tax options — count as part of the six)

Mnemonic: Medical, Charity, Mortgage, Property tax, Sales/Income tax

Medical Deduction Math ★ MEMORIZE 7.5%

$$\text{Floor} = \text{AGI} \times 7.5\%$$

$$\text{Deductible medical} = \text{Medical expenses} - \text{Floor (if positive)}$$

Not deductible: cosmetic surgery, federally illegal drugs (marijuana), OTC meds (generally)

Charity Limits ★ MEMORIZE

- Must be **registered 501(c)(3)** — not homeless person, neighbor, political campaigns
- **Cash to public charities:** up to **60% of AGI**
- **Capital gain property:** up to **30% of AGI**
- **Ordinary income property** (used clothes/furniture): up to **50% of AGI**
- Excess carries forward

Mortgage Interest

- First and second home only
- **Home equity interest** deductible only if used to **improve** the home

State/Local Taxes (SALT)

- **\$10,000 cap** on property + sales/income tax deduction combined (know concept)

Miscellaneous Itemized (only one left)

- **Gambling losses** — only to extent of **gambling winnings** (reduce winnings to zero, not below)
- Military moving expenses (pursuant to orders) — rare
- **No** tax prep, hobbies, hobby expenses (eliminated 2018)

Business Deductions

Must be **ordinary, necessary, and reasonable** - **NOT deductible**: bribes, fines, penalties, political contributions, lobbying - **Meals**: only **50%** deductible when business-related - **Mileage for business**: \$0.67/mile (2024 reference); commute home-to-work NOT deductible

Accounting Methods ★ MEMORIZE

Cash	Accrual
Income when received	Income when earned (all events test)
Expense when paid	Expense when incurred

Large corps generally must use accrual.

Discharge of Indebtedness

- **Insolvent / bankruptcy** — generally **not taxable**
- **Solvent** — cancellation of debt is **taxable income**

TOPIC 6: Filing Status, Credits, Final Steps

Five Filing Statuses ★ MEMORIZE RULES

Status	Key rules
Married filing joint (MFJ)	Married on last day of year (Dec 31); exception: spouse died during year can still file MFJ that year; joint and several liability
Married filing separate (MFS)	Married Dec 31 but file separately; avoids joint liability; no tax benefit ; same standard as single
Qualified widow(er)	Spouse died; next 2 years after death; not remarried + dependent must be a CHILD (not parent)
Head of household (HOH)	Unmarried or abandoned spouse (lived apart 6+ months, paid >half home cost) + dependent + paid >half cost of keeping home

Status	Key rules
Single	Default — unmarried, no dependents

HOH Dependents (broader than qualified widow):

- Children, qualifying relatives (live with you 6+ months, you support)
- **Parents** — don't have to live with you if you provide >half support
- **Non-relative** — must live with you **entire 12 months**, income < \$5,050 (2024), you provide >half support

Practice: Married Feb, baby May, divorced Nov → **not married Dec 31** → custodial parent = **HOH**, other = **single**

Tax Credits Overview ★ MEMORIZE ALL RULES

Credits **reduce tax owed** (dollar for dollar), not taxable income.

Refundable vs Nonrefundable

Type	Meaning	Example
Refundable	Can go below zero → refund check	Earned Income Credit (EIC)
Nonrefundable	Reduces tax to zero only; no refund of excess	Lifetime Learning Credit
Partially refundable	Some refundable portion	American Opportunity (know concept)

Child & Dependent Credits ★ MEMORIZE

Credit	Rules	Amount
Child Tax Credit	Under 17 at Dec 31	\$2,000 per child
Qualifying dependent credit	Age 17–24 full-time student OR other dependents	\$500 each
Child & Dependent Care Credit	Kids under 13 (or incapacitated dependent); parent working or looking for work	\$3,000 one child / \$6,000 two or more (max)

Dependent must be U.S. citizen, national, or resident alien.

Education Credits ★ MEMORIZE

	American Opportunity	Lifetime Learning
Years	First 4 years post-secondary (bachelor's)	Any level
Student	At least half-time	Any
Other	No drug felony conviction	—
Amount	\$2,500 per student	\$2,000 total

	American Opportunity	Lifetime Learning
Refundable?	Partially	Nonrefundable

If qualify for both → take **whichever is bigger** (not both).

Earned Income Credit (EIC) ★ MEMORIZE

- For **low-income wage earners** — goal is **refund check**
- Must have **earned income** from a job
- Age **25-65** OR have **qualifying child**
- Investment/passive income must be **≤ \$11,600** (2024)
- **Refundable**

Ordinary vs Preferential Tax

- **Ordinary income** — progressive charts
- **Long-term capital gains** — 0%, 15%, or 20%
- Short-term capital gains = ordinary rates

MEMORY TIPS & MNEMONICS

Tax Formula (4 steps)

"**Find Income, Deduct, Tax**" → Filing status → Income → Deduction (bigger) → Liability

Itemized Six

"**My Cat Made Property Sales Income**" — Medical, Charity, Mortgage, Property tax, Sales/Income tax

Tax structures

"**Progressive Income, Regressive SS, Flat Sales**"

Statute of limitations

"**3-6-Forever**" — 3 general, 6 if underreport 25%+, forever if no file or fraud

Tax law hierarchy

"**Constitution → Code → Treasury → Courts**"

Entities

"**Only C is trapped**" — only C Corp is non-flow-through (double tax)

Capital assets (business)

"No Inventory, Supplies, or Business Real Estate"

Holding period

"367 days = long" (leap year joke from Elin)

Gift vs inheritance basis

"Gift = giver's cost; Death = today's value"

Depreciation order

"179 Bonus MACRS" — Section 179 first, Bonus second, MACRS last

MACRS personal property

"Cars & computers = 5; Furniture = 7; Doubt = 5"

Medical floor

"7.5% AGI is the floor"

Charity limits

"Cash 60, Capital 30, Ordinary 50" (% of AGI)

Filing status Dec 31 rule

"Not married New Year's Eve = not MFJ"

Qualified widow

"2 years, no remarry, kid only"

Credits categories

"Kids, School, Low income" — child credits, education credits, EIC

Research process

"Facts First Always"

FOR vs FROM

"FOR business before AGI; FROM standard/itemized after"

EIC

"Earned income, not too much passive, refund check"

PA warning

HIGH-PRIORITY TEST TOPICS CHECKLIST

Print this and check off as you study:

- ☐ Progressive vs regressive vs proportional + examples
- ☐ Sufficiency, equity (horizontal/vertical), certainty, convenience, economy
- ☐ 6.2% employee SS / 15.3% self-employed total
- ☐ Statute: 3 / 6 (25%+) / indefinite (fraud/no file)
- ☐ Failure to file 5% / fail to pay 0.5% / fraud 75%
- ☐ Tax research: facts first; open vs closed facts
- ☐ Tax law: Constitution, IRC, Treasury regs, courts; PLR vs TAM
- ☐ C Corp = non-flow-through / double taxation; K-1 pass-through
- ☐ Tax formula 4 components + practice problems
- ☐ Exclusions: gifts, inheritance, municipal bond interest, illegal income IS included
- ☐ Unrealized / realized / recognized
- ☐ FOR vs FROM deductions
- ☐ Six itemized + 7.5% medical floor
- ☐ Charity 60/30/50 limits; 501(c)(3)
- ☐ Standard vs itemized — take bigger
- ☐ Capital asset exclusions (inventory, supplies, business real estate)
- ☐ Basis = cost + put in use
- ☐ Long-term = >1 year; LTCG 0/15/20%
- ☐ \$3,000 capital loss limit; gift vs inheritance basis
- ☐ Depreciation: 179 → bonus 60% → MACRS; 5 vs 7 year; land never depreciates
- ☐ Five filing statuses + Dec 31 rule + qualified widow vs HOH dependents
- ☐ All credit rules (child \$2000, dependent \$500, care \$3k/\$6k, AOC, LLC, EIC)
- ☐ Refundable EIC vs nonrefundable Lifetime Learning
- ☐ Cash vs accrual accounting
- ☐ Pay-as-you-go; estimated tax dates; extension file ≠ extension pay

Good luck on your objective assessment! Review the comprehensive webinar practice questions and redo tax formula problems by hand with the whiteboard.